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E Ink Holdings Inc. | Asia Pacific

August Sales +20% MoM/+3% YoY

In this report, we focus on E Ink's monthly sales, which we believe could be a catalyst for its share price.

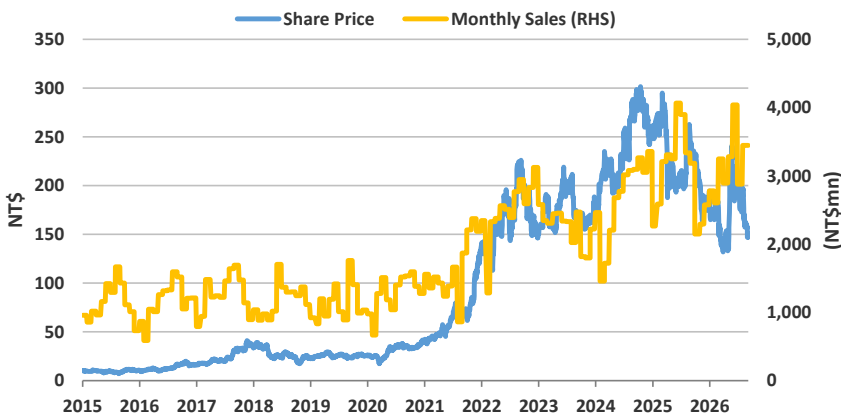
Details:

- August sales were NT\$3,446mn (+20% MoM/+3% YoY).
- QTD sales reached 63% of our 3Q26 revenue estimate of NT\$9,985mn (-2% QoQ/-4% YoY) and 62% of consensus at NT\$10,213mn (flat QoQ/-2% YoY).

Our view:

- The solid rebound in the Aug monthly sales should alleviate the potential risk of missing full-year guidance again (now at 10-15% YoY for 2026), in our view, as 3Q26 revenue is tracking in line with our estimate for a modest decline QoQ.
- While the worst seems to be behind us and valuation is at a trough level of 12x 2027 P/E, we see no strong catalysts in the near term, despite our positive long-term view on e-paper demand across various applications.

Exhibit 1: E Ink's monthly sales vs. its share price since 2015



Note: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

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E Ink Holdings Inc. (8069.TWO, 8069 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Equal-weight
Industry View	In-Line
Price target	NT\$150.00
Up/downside to price target (%)	2
Shr price, close (Sep 8, 2026)	NT\$147.00
52-Week Range	NT\$252.00-135.00
Sh out, dil, curr (mn)	1,150
Mkt cap, curr (mn)	NT\$169,074
EV, curr (mn)	NT\$174,632
Avg daily trading value (mn)	NT\$1,364

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	9.14	11.57	12.57	14.77
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	10.09	11.56	13.31	14.72
Revenue, net (NT\$ mn)	36,116	40,294	46,095	53,387
EBITDA (NT\$ mn)	13,458	16,276	18,570	21,698
ModelWare net inc (NT \$ mn)	10,515	13,307	14,457	16,987
P/E	21.7	12.7	11.7	10.0
P/BV	3.3	2.2	2.1	1.9
RNOA (%)	13.8	14.4	16.5	19.4
ROE (%)	18.2	19.0	18.9	20.7
EV/EBITDA	17.5	10.4	8.8	7.3
Div yld (%)	3.0	5.1	5.6	6.5
FCF yld ratio (%)**	4.2	7.5	8.1	9.4
Leverage (EOP) (%)	2.1	(5.7)	(11.2)	(17.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
E Ink Holdings Inc. 8069.TWO			
August 2026 sales	08 Sep 2026	Unchanged	↓ Modest downside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

E Ink Holdings Inc. (8069.TWO)

Base case, 12x 2027e P/E. We believe this valuation methodology best captures E Ink's earnings growth momentum. We view our target multiple of 12x as fair, considering our estimated 17% earnings CAGR for 2025-28. The implied PEG of 0.7x is largely in line with its typical level in 2022-25, when the stock was trading at an average P/E of 22x one-year forward consensus EPS with a 37% earnings CAGR.

Risks to Upside

- Firmer-than-expected ESL orders
- Stronger demand for e-readers and e-notes
- Better macro conditions
- Milder competition
- Brisker inventory digestion

Risks to Downside

- Softer-than-expected ESL orders
- Slower demand for e-readers and e-notes
- Macro headwinds
- Intensified competition
- More protracted inventory digestion

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/08/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$40.90
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb179.92
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$25.52
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.68
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.20
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb416.40
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$1,010.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.68
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.48
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.65
Largan Precision (3008.TW)	O (07/10/2026)	NT\$6,500.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.77
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.43
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.50
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$59.80
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.06
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.45
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.72
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb62.10
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$43.92
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb54.27
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$67.30
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb258.50
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.60
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$26.92

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb416.85
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$171.20
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb105.72
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.22
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb902.37
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,161.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.62
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.21
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,955.00
Advantech (2395.TW)	O (01/20/2021)	NT\$657.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,335.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,285.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$29.60
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,340.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,935.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.56
Chenbro (8210.TW)	O (07/23/2025)	NT\$907.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,265.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,805.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$147.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$64.90
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,155.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$350.00
Innolux (3481.TW)	E (04/07/2025)	NT\$48.80
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$12,520.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb34.60
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$291.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.76
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.60
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb196.20
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.05
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$968.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$205.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$39.05
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.27
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb64.75
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$357.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,075.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$251.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb72.32
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,865.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$30.36
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,620.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,025.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$91.70
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$328.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb146.28
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb382.50
Unimicron (3037.TW)	O (02/23/2026)	NT\$954.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$515.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$186.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,340.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$567.00

Zhen Ding (4958.TW)	++	NT\$505.00
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* Historical prices are not split adjusted.